make money out of it. It is true that privacy concerns are a critical reason why people get cold feet about online shopping.

- Physical product disputes are a major disadvantage in E-Commerce. E-Commerce purchases are often made on trust. This is because, we do not have physical access to the product. Though Internet is an effective channel for visual and auditory information it does not allow full scope for our senses. We can see pictures of the perfumes, but can not smell their fragrance, we can see pictures of a cloth, but not its quality. If we want to inspect something, we choose what we look at and how we look at it. But in online shopping, we would see only the pictures the seller had chosen for us. People are often much more comfortable in buying the generic goods (that they have seen or experienced before and in which there is little ambiguity) rather than unique or complex things via the Internet.

- We couldn't think of ordering a single ice cream or a coffee from a shop in Paris. Though specialized and refrigerated transport can be used, goods bought and sold via the Internet need to survive the trip from the supplier to the consumer. This makes the customers turn back towards traditional supply chain arrangements for perishable and non-durable goods.

- Delivery ambiguity. Since supplying businesses can be conducted across the world, it can be uncertain whether they are indeed genuine businesses or just going to take our money. It is pretty hard to knock on their door to complain or seek legal recourse. Further, even if the item is sent, it is easy to start bothering whether or not it will ever arrive on time.



Disruptive innovations in E-commerce

The innovations which replace the existing technologies are called as disruptive innovations. Disruptive innovation creates a new market. Not all innovations are near disruptive. The first automobiles in the late nineteenth century were a great innovation. But it didn't affect existing animal-based road transport market until 1908 when Henry Ford introduced affordable motor cars. The term disruptive innovation was first coined by Clayton M in his book "The Innovator's Dilemma".

Example: Film cameras market is disrupted by digital camera innovations, floppy disk market is interrupted by CD and USB innovations. E-Commerce itself is a disruptive innovation.

XII CompApp_English version CHAPTER 15.indd 216 23-02-2020 14:46:18